

applicable standard of proof.” (*Ibid.*) “[I]f the court concludes that the [opposing party’s] evidence or inferences raise a triable issue of material fact, it must conclude its consideration and deny the [moving party’s] motion.” (*Id.* at p. 856.)

Throughout the process, the trial court “must consider all of the evidence and all of the inferences reasonably drawn therefrom[.]” (*Aguilar, supra*, 25 Cal.4th at p. 844 [internal quotations omitted].) The moving party’s evidence is strictly construed, while the opposing party’s evidence is liberally construed. (*Id.* at p. 843.)

II. Requests for Judicial Notice

In connection with this Motion, Chan seeks Judicial Notice of the following documents:

- 1) Proof of Service in Underlying Case (Ex. 1);
- 2) Abstract of Judgment in Underlying Case (Ex. 2);
- 3) Writ of Execution issued by Santa Clara County Superior Court (Ex. 3);
- 4) Memorandum of Costs filed with Writ of Execution (Ex. 4);
- 5) Debtor Examination to enforce Judgment (Ex. 5); and
- 6) Declaration filed by Zhong in current lawsuit (Ex. 6).

Chan’s request for Judicial Notice of each exhibit is **GRANTED**. (See *Stepan v. Garcia* (1974) 43 Cal.App.3d 497, 500 [the court may take judicial notice of its own files].)

In turn, Zhong seeks Judicial Notice of the following:

- 1) Complaint in the Underlying Case (Ex. A)¹;
- 2) Proof of Service of Summons in Underlying Case (Ex. B);
- 3) Request for Entry of Default and Court Judgment in Underlying Case (Ex. C);
- 4) Proof of Service in a separate case involving Zhong (20CV369925) (Ex. D); and
- 5) Google Maps screenshot showing various routes from Fixlaptop.com to Zhong’s home (Ex. E).

Zhong’s request is **GRANTED** for each Exhibit.

¹ Both Defendant Chan and Plaintiff Zhong labeled their exhibits using numbers. For clarity, the Court will instead refer to Plaintiff Zhong’s exhibits as Exhibits A through E.

III. Zhong's Objections to the Chan's Evidence are Overruled for purposes of this Motion

In Zhong's separate statement in support of his opposition to the motion for summary judgment he includes several objections to Chan's evidence. Each objection made in the separate statement is **OVERRULED** for failure to comply with California Rules of Court, rule 3.1352 requiring all written objections to be served and filed separately from other papers in support of the opposition. Even apart from CRC 3.1352, Zhong's objections are overruled because the Court is quite capable, in the broad exercise of its discretion, of considering Chan's evidence and giving it whatever weight, if any, that it is due.

IV. Principles governing Independent Action in Equity

This case is an independent action in equity to set aside default judgment for lack of personal jurisdiction, brought under Code of Civil Procedure section 473, subdivision (d). This section states, in part, that a court may, on motion of either party after notice to the other party, set aside any void judgment or order. (Code Civ. Proc., § 473, subd. (d).) The judgment may be valid on its face but void as a matter of law due to improper service. (*Kremerman v. White* (2021) 71 Cal.App.5th 358, 371.) "A default judgment which is in excess of jurisdiction may be set aside at any time either by motion or by an independent action in equity." (*Don v. Cruz* (1982) 131 Cal.App.3d 695, 703, citing *Kass v. Young* (1977) 67 Cal.App.3d 100, 105.)

A judgment debtor may institute an independent action in equity to set aside a default judgment taken in a prior action due to an alleged failure to properly serve the summons and complaint in accordance with the law. (See *Groves v. Peterson* (2002) 100 Cal.App.4th 659, 666-670.) Importantly, for purposes of the present Motion, such an independent action is *not* subject to any time limit. (*Id.* at p. 670, fn. 5.)

In support of the Motion for summary judgment, Chan makes the following arguments: 1) the default judgment is presumed valid and Zhong cannot rebut the proof of service and 2) the action is time barred by laches and unreasonable delay.

V. While the Proof of Service is entitled to a Presumption of Validity, Zhong carries his burden of raising disputes of fact over whether he was served in the Underlying Action.

Chan correctly points out that a registered process server's proof of service is entitled to a rebuttable presumption of validity. (Evid. Code, § 647; *Floveyor Internat., Ltd. v. Superior Court* (1997) 59 Cal.App.4th 789, 795 [where proof of service complies with applicable statutory requirements, it creates a rebuttable presumption that the service was proper]; Motion, p. 7:6-8.) To support Chan's assertion that service was proper, Chan provides the proof of service in the Underlying Case that reflects personal service on Zhong at his confirmed residence on December 8, 2020. (Evidence Index, Ex. 1 [proof of service].) The driver's license attached to the FAC confirms Zhong's address.

(See FAC, Ex. C.) The proof of service indicates that on December 8, 2020, a registered process server from Galaxy Process Servers, personally served Peter Xu Zhong at 684 Clara Vista Ave., Santa Clara, CA 95050. (*Ibid.*) Gabriel Aragon (Registration No. 1623) signed the proof of service under penalty of perjury on December 11, 2020. This is sufficient to invoke the presumption of validity.

Further, in response to the FAC's assertion that there are discrepancies in the listed age, height, and weight on the proof of service, Chan contends that minor descriptive discrepancies do not invalidate service, especially where the description is substantially similar and service occurred at the Zhong's residence. (Motion, p. 7:11-17.) Here, the proof of service states that the party served was an Asian male with black hair, 45 years old, 5 feet 11 inches tall, and 165 pounds. (Evidence Index, Ex. 1.) In contrast, Zhong asserts he is an Asian male with black hair, but at the time, was 51 years old, 5 feet 9 inches tall, and 175 pounds. (FAC, ¶ 13.) In support, Chan relies on Zhong's driver's license to show that the descriptions are similar. Thus, Chan proffers evidence that service was made at Zhong's address and to a man with substantially similar characteristics.

Based on the foregoing, Chan meets his prima facie burden for purposes of the Motion of establishing that Zhong properly served. Thus, the burden shifts to Zhong to present evidence that raises a triable issue of material fact on this point.

In Opposition, Zhong disputes that he was served in the Underlying Case. While the process server's notes on this point are so murky and illegible that they becloud this issue rather than illuminate it, Zhong does present evidence through his Sworn Declaration raising a triable issue of material fact over whether he was served in the Underlying Case. Zhong states in his signed declaration, under penalty of perjury, that the proof of service inaccurately describes his appearance. (Zhong Decl., ¶¶ 8-10; FAC, Ex. C; see also *Fernandes v. Singh* (2017) 16 Cal.App.5th 932, 941 fn. 6 [a sworn declaration is sufficient to rebut the presumption of service].) Further, Zhong provides evidence that he was at FixLaptop at approximately 11:25 a.m. on December 8, 2020, approximately five minutes before the process server claims personal service occurred. (Silva Decl., Exs. 1-2; Zhong Decl., ¶ 14.) Based on this, the Court finds that Zhong has proffered sufficient evidence to establish there is a triable issue of material fact, which renders summary judgment inappropriate. (See *Reid v. Google, Inc.* (2010) 50 Cal.4th 512, 540 [when declarations or testimony submitted by both sides conflict on material facts, the court cannot weigh the evidence in ruling on a motion for summary judgment].)

The Court hastens to add that it does *not* now find as a matter of fact and does *not* now rule as a matter of law that Zhong was not properly served in the Underlying Case. Rather, the Court far more modestly finds that Zhong has raised a triable issue of material fact on this point, rendering summary judgment inappropriate here now.

VI. This Independent Action in Equity is not time barred by laches or unreasonable delay.

Chan also asserts laches and unreasonable delay, arguing that the equitable action to set aside the default judgment is not permitted because 1) Zhong failed to act diligently

and 2) Zhong was not prevented from participating in the original action due to extrinsic fraud or mistake. (Motion, p. 8:13-16, citing *In re Marriage of Park* (1980) 27 Cal.3d 337, 341-342 (*Park*).) Chan asserts that Zhong waited over two years and two months after the entry of default judgment, after recording of Abstract Judgment on his family residence, and more than 16 months after Chan sought to collect the Judgement balance due through bank levies, to file this action. (Motion, p. 8:18-23.) As a result, Chan argues that laches bar Zhong's claim here. (*Id.* at p. 8:22-23.)

Chan's reliance on *Park* is unavailing. *Park* held that a "final judgment may be set aside by a court if it has been established that extrinsic factors have prevented one party to the litigation from presenting his or her case." (*Id.* at p. 341 [emphasis added].) In *Park*, the court stated that "**a motion to vacate a judgment** should not be granted where it is shown that the party requesting equitable relief has been guilty of inexcusable neglect or that laches should attach." (*Park, supra*, 27 Cal.3d at p. 345 [emphasis added].) Code of Civil Procedure section 473.5 requires that **a motion**, in an underlying case, to set aside default judgment as void for defective service of process must be filed within a reasonable time not exceeding two years from the entry of default judgment. (Code Civ. Proc., § 473.5.) If this *were* a motion brought in the Underlying Case, such a motion may have been untimely. *But* California precedent holds that that "an independent action in equity to set aside a judgment on [the ground of improper service] is not subject to a time limit." (*Groves, supra*, 100 Cal.App.4th at p. 670, fn. 5; *Dill v. Berquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1444 [stating that even if the motion was untimely, "the void judgment may be attacked by a separate action, without time limit."]; *County of San Diego v. Gorham* (2010) 186 Cal.App.4th 1215, 1228 [stating same].)

As such, Chan fails to meet his initial burden establishing that Zhong's claim is barred by the doctrine of laches.

Accordingly, as all of Chan's arguments for Summary Judgment or Summary Adjudication fail, the Motion is DENIED in all respects.

Conclusion and Order

Accordingly, Chan's Motion for Summary Judgment or, in the alternative, for Summary Adjudication is **DENIED**.

SO ORDERED.

Date: June 24, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 3

Case Name: *Velocity Investments, LLC v. John Madrid, et al.,
And Related Cross-Action*

Case No.: 23CV427141

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Defendant/Cross-Complainant John Madrid (“Madrid”) moves the Court to compel Plaintiff/Cross-Defendant Velocity Investments, LLC (“Velocity”) to:

1. Provide complete, non-evasive, Code-Compliant responses to Madrid’s Request for Production of Documents and Electronically Stored Information, Set One (“RFP”) No. 2;
2. Produce all documents and ESI in its possession, custody or control that are responsive to Madrid’s RFP No. 2; and
3. Pay a monetary sanction in the amount of \$3,092.52 for Madrid’s reasonable attorneys’ fees and costs incurred for this Motion.²

Notice of Motion (the “Motion”) at 1:25-2:4 (filed: Oct. 31, 2025).

The Motion came on for hearing on June 24, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

This Motion is straightforward.

Putting aside for the moment the issue of sanctions, there are only two specific items that Madrid seeks by this Motion:

- for Velocity to produce “the purchase and sale agreement subject to the Court’s standard protective order” and
- for Velocity to “amend its response” to RFP No. 2 to comply with Code of Civil Procedure Section 2031.220 by stating that Velocity has complied in whole with RFP No. 2 and has produced all responsive documents in its possession, custody, or control.

² Madrid also here asks for an Order “authorizing the previously awarded sanctions in the amount of \$3,025, for a total sanction award of \$6,117.52.” Motion at 2:7-8. In this ruling the Court will address this point on the reasonable total amount of sanctions to be awarded now.